INVESTMENT COMMITTEE MEMO

Windmill Apartments — Value-Add Multifamily Acquisition

10705 E. US Highway 136, Indianapolis, IN 46234

1. DEAL SNAPSHOT

Property	Windmill Apartments
Address	10705 E. US Highway 136, Indianapolis, IN 46234
Submarket	Clermont / Brownsburg-adjacent, Hendricks County
Property Type	Class C Multifamily, Value-Add
Unit Count	33 units (15 Studios / 17 1BR/1BA / 1 2BR/2BA)
Year Built	1980
Rentable SqFt	12,602
Broker	Marcus & Millichap
Asking Price	$3,120,000 ($94,545 per unit)
Recommended Bid	$2,750,000 ($83,333 per unit)
In-Place Occupancy	93.94% (31 of 33 units occupied)
T-12 Net Operating Income	$212,574
T-12 Cap Rate on Asking	6.81%

2. INVESTMENT RECOMMENDATION

Recommend pass at the $3,120,000 asking price. Base case IRR of 16.6% at ask is inadequate compensation for the risk profile: a 100bp exit cap expansion drops returns to 11.0%, and a soft rent growth environment (0.5%) collapses IRR to 5.4%. **Would support acquisition at a maximum strike price of $2,750,000,** where base case IRR rises to 24.7% and equity multiple to 2.67x — creating meaningful margin of safety against exit cap expansion and rent-growth downside without requiring aggressive operational assumptions.

3. INVESTMENT THESIS

Submarket.

The property sits in a growth corridor within the highly-rated Brownsburg school district, flanked by 5.3 million square feet of operational industrial space with an additional 1.5 million square feet under construction. Major employers within 10 miles include Amazon, UPS, Salesforce, and Eli Lilly, providing durable renter demand. The Brownsburg Community School Corporation ranks #4 statewide (Niche, 2024) and drives premium tenant credit quality relative to submarket rent levels.

In-Place Operations.

The asset is stable at 93.94% occupancy with over $550,000 in recent capital already deployed by the seller — parking lot repaving, unit turns on 28 of 33 units, new boilers and furnace, and a bulk internet package. However, T-12 write-offs run at 5.6% versus a 1-2% industry norm, indicating distinct collections leakage that a disciplined third-party property management framework should meaningfully reduce.

Value-Add Angle.

Upside is operational, not rent-driven. Transitioning from in-house to third-party management eliminates $43,900 of annual payroll (replaced by an 8% management fee), and roughly $7,000 per unit of interior capex on the 5 remaining unrenovated units brings them to renovated market rent — consistent with the seller's own per-unit spend history. Independent rent comps (Apartments.com, July 2026) indicate limited pure rent-growth upside because Windmill's units are already at or above per-square-foot market rent; unit size, not price, is the binding constraint. The thesis does not depend on above-market rent inflation.

4. UNDERWRITING SUMMARY (AT RECOMMENDED $2,750,000 BASIS)

Purchase Price	$2,750,000
Price per Unit	$83,333
Loan Amount / LTV	$1,925,000 / 70%
Interest Rate / Amortization	6.75% fixed / 25 years
Equity Required	$880,000 (incl. closing costs)
Year 1 NOI (before reserves)	$261,369
Year 1 NOI (after reserves)	$251,469
Going-in Cap Rate (NOI basis)	9.50%
Base Case Levered IRR	24.7%
Base Case Equity Multiple	2.67x
Year 1 DSCR	1.62x
Year 1 Cash-on-Cash Yield	10.2%
Exit Cap Assumption	7.50%
Cost of Sale	5.00%
Hold Period	5 Years

5. KEY ASSUMPTIONS & WHERE WE DIVERGE FROM THE BROKER

- **Initial Rent Positioning.** The broker's pro forma assumes an immediate 5.5% rent lift from current $904 to potential $954 per unit, justified by "below-market" positioning. Our independent rent-comp verification (Apartments.com, July 2026) shows Windmill studios and 1BRs are already at or above per-square-foot market rents; unit size — not rent — is the constraint. We accept the broker's ~2.5% annual rent growth curve for Years 2-5 as reasonable but do not underwrite meaningful initial rent lift on the 28 already-renovated units.
- **Expense Growth Discipline.** The broker's expense-growth curve ramps from 1.3% (Year 1) to 3.0% (Year 5), averaging ~2.4%. We underwrite a flat 3.0% expense growth across all years to preserve margin discipline and reflect the current cost-inflation environment. This creates a modest negative revenue-vs-expense growth spread that pressures NOI over the hold.
- **Vacancy and Collections.** The broker's pro forma models 5.0% physical vacancy and only 1.0% collections loss, which understates the actual T-12 collections performance of 5.6% write-offs. We hold physical vacancy at 5.0% (reasonable for the stabilized submarket) but underwrite collections loss at 3.5% — the midpoint between the broker's aggressive assumption and T-12 reality — reflecting that a disciplined PM handoff should meaningfully reduce write-offs but not eliminate them.
- **Management Structure.** The broker's pro forma eliminates all $43,900 of T-12 payroll expense and replaces it with an 8.0% third-party management fee — a net savings of roughly $9,700 annually. We adopt the same structure but flag that this assumes fully turnkey third-party PM with no separately-billed on-site maintenance labor. If the PM contract

requires a dedicated maintenance technician (common for 30+ unit properties), $15,000-$25,000 of that savings evaporates.

- **Repairs and Maintenance.** T-12 R&M ran at just $7,947 (~$241 per unit), which is unsustainably low for a 1980-vintage property and reflects the seller having front-loaded capex ($550,000 over three years). We underwrite R&M at $16,500 ($500 per unit), lower than the broker's $26,400 but well above trailing actuals — reflecting normalized ongoing maintenance for a Class C property post-seller capex.

6. RISKS & SENSITIVITIES (AT $2,750,000 BASIS)

Exit Cap Rate Expansion.

Terminal value drives roughly 60% of total return over a 5-year hold. Sensitivity at the recommended $2,750,000 basis: a 50bp exit cap expansion to 8.0% cuts IRR from 24.7% to 22.1%; a 100bp expansion to 8.5% cuts it to 19.6%. Upside from 50bp compression to 7.0% lifts IRR to 27.4%. Critically, the recommended entry price preserves acceptable value-add returns (>18% IRR) even under severe cap rate expansion — the same 100bp expansion at asking price collapses IRR to 11.0%. The $370,000 discount from asking is downside insurance, not opportunistic upside.

Rent Growth Softening.

Base case assumes 2.5% annual rent growth. Sensitivity at $2,750,000 basis: 1.5% growth cuts IRR to 22.3%; a 0.5% hard-recession scenario cuts IRR to 19.9%. Independent rent comp verification confirms limited rent-lift execution risk (unit size is the binding constraint), so downside is primarily submarket macro rather than execution. Brownsburg's cited 7-8% growth from 2021-2023 is not sustainable; return to Indianapolis-metro average of 2-3% is the base case.

Operational Execution & Cost Inflation.

Underwriting reflects deliberate margin discipline: expenses grow at 3.0% versus revenue at 2.5%, producing modest NOI compression over the hold. Year 1 DSCR of 1.62x at $2,750,000 basis provides comfortable coverage above the 1.20x lender minimum, but any delay in transitioning to third-party PM — which removes the $43,900 in-place payroll — would push DSCR toward 1.35-1.40x and constrain distributions in Years 1-2. Execution risk is concentrated in the first 90 days post-close: PM transition, lease audit, and collections tightening.

Property-Specific Concentration.

33-unit single-asset deal in Class C 1980-vintage product. Nearly half the unit count (15 studios) is ultra-small (226-267 square feet), a segment with thinner comp support and higher turnover sensitivity than 1BR/2BR product. Deferred maintenance risk is mitigated by the seller's $550,000 recent capex (parking, boilers, roofs, interior), but a Class C 1980-vintage asset carries inherent capital-event risk (roof, foundation, plumbing) that reserves-per-unit at $300 per year underprices; buyer should budget capital reserve escrow at closing.

7. RECOMMENDATION, RESTATED

We recommend passing on the current asking price of $3,120,000 and pursuing acquisition of Windmill Apartments at a **maximum strike price of $2,750,000**. At this basis, the deal delivers a 24.7% base case levered IRR and 2.67x equity multiple, and — critically — preserves 19-20% IRR even under 100bp exit cap expansion or a hard-recession rent growth environment. ***This asymmetric downside protection, not the base case return, is the core rationale for pursuing at $2,750,000 rather than at ask.***

Closing subject to the following conditions:

- **Property Management Transition Plan.** Signed engagement letter with a qualified third-party PM firm covering leasing, collections, and maintenance, structured to eliminate the $43,900 of in-place payroll expense within 90 days of close.

- **Physical & Environmental Due Diligence.** Comprehensive building condition assessment and Phase I ESA confirming deferred maintenance exposure and life-safety systems align with our capex reserve of $300 per unit per year; any material findings to be reflected in a price reduction or seller credit.
- **Financing Terms.** Loan commitment consistent with underwritten terms (70% LTV, ~6.75% fixed rate, 25-year amortization). Any material variance in rate or LTV requires re-underwriting.
